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S VENTURES GO, there is one recorded on May 29, 1953, that still captures the imagination. That was the day Sir Edmund Hilary and Tenzing Norgay made history by becoming the first to reach the summit of Mount Everest. Since then, that feat has symbolised the triumph of the human will in the face of overwhelming odds. Almost exactly to that day, 70 years later, on June 6 to be

precise, Sequoia Capital, one of the most revered names in the venture capital world, announced that it was splitting its business into three independent entities for the US and Europe, China, and India and Southeast Asia (SEA). More importantly for those in this country, it also revealed that the India and SEA business would be rebranded as Peak XV Partners, taking inspiration from Mount Everest, which was called Peak XV before being renamed.

Let us get back to Peak XV Partners. Few were aware of this impending decision. In fact, not many in its own team had a clue until the day of the announcement. What followed was an aggressive rebranding. “The way they have very quickly rebranded themselves is remarkable. At their office, it is almost taboo to use the word Sequoia. You will be corrected even by people in the lift if you say Sequoia by chance,” says a person who visited the Peak XV office recently.

Many have wondered since the split why that decision was taken, especially at a time of turmoil in the start-up world, sparked by a deepening funding winter. It is also a time when problems at many start-ups—that bubbled under the surface when the funding taps were gushing—have become impossible to ignore.

Others, including Peak XV Partners’ Managing Director Shailendra Singh, see an opportunity to build on what Sequoia has already achieved, aided no doubt by its significant war chest, betting on the Indian economy’s ability to remain the “bright light” of the world.

Singh says the split resulted from increasing overlaps in strategy between the India and US businesses that was hurting its limited partners (LPs) and founders.

Those overlaps occurred because Sequoia India’s investment strategy shifted to focus more on cross-border software opportunities.

The percentage of such investments increased from just 10 per cent in 2018 to 50–55 per cent in 2023. This means that more than half of Sequoia India’s portfolio in the last four years had a global presence, particularly in the US, potentially leading to competition with its parent fund’s portfolio.

Singh says this convergence, when operating under the same brand, cannibalises the interest of LPs. “Earlier, we had a crack which companies used to fall through. Good companies [land] neither in our, nor in their jurisdiction fully. Now we will both be able to cover it more clearly. This [the split] is good for LPs in the long term,” he says.

However, multiple individuals, including global VCs and LPs, highlight major disagreements between the India-SEA and the US teams as a key factor. “Once China goes separate, it only makes sense to have India-SEA going separate as the partners here felt that all the real carry that has happened in the last few years has happened from here versus from the US. That’s where the ego battle comes, which is why it is a three-way split instead of two,” says a growth-stage VC investor.

According to an Indian LP, the local team feels it has built the Sequoia brand here and its track record speaks for itself. They believe they can perform better as an independent unit, with more freedom and flexibility.

There’s evidence close at hand that

**VIEW
FROM
THE
PEAK**

Portfolio
companies

400+

Cross-border
companies

100

Total funds
raised

**\$9.2
BILLION**

Total funds
invested

**\$6.7
BILLION**